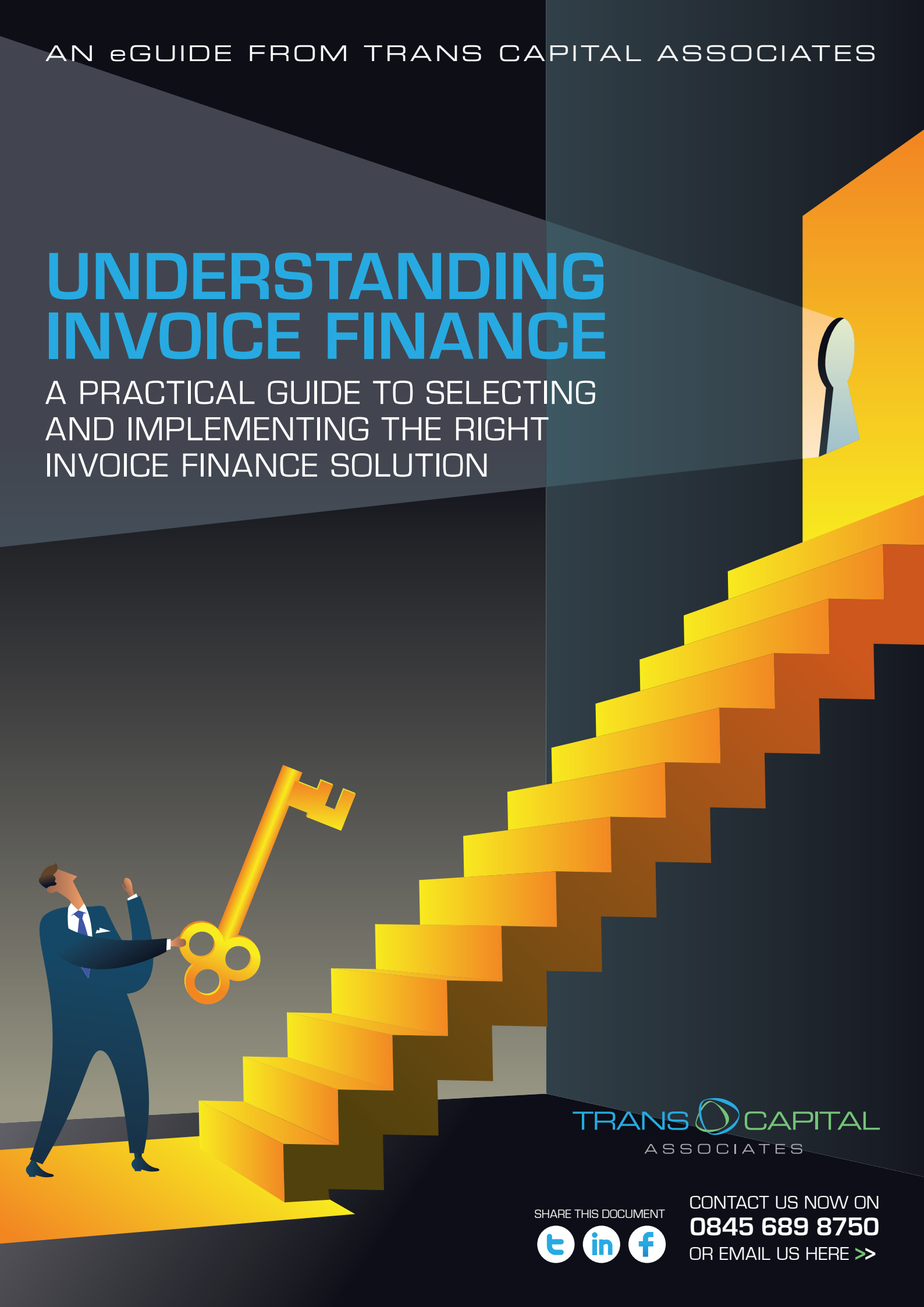
AN eGUIDE FROM TRANS CAPITAL ASSOCIATES

UNDERSTANDING INVOICE FINANCE

A PRACTICAL GUIDE TO SELECTING AND IMPLEMENTING THE RIGHT INVOICE FINANCE SOLUTION



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UNDERSTANDING INVOICE FINANCE

Introduction

It is said that variations on invoice finance have been around in England since the 15th Century. Whilst it has always been a recognised source of working capital, it is only in the 21st century that the product has gained any real traction. This was following a change in case law (Brumark Investments Limited 2001) which affected the ability of banks to obtain a fixed charge on book debts in traditional overdraft situations. This has led to significant growth in the invoice finance market over the past decade, both in terms of the numbers of users, and in the numbers of products available in the market place.

And, that market continues to develop apace: new products, new providers, a new Asset Based Finance Association (ABFA) code of conduct; all of which combines to increase both the transparency of the offering and the power of the client. But, this pace of change has also meant that there is a vast amount of information out there to wade through and, if you're a business that is considering invoice finance as a potential funding option, where on earth do you start?

This helpful eGuide will:

- provide you with a comprehensive background to invoice finance and its products
- offer insider tips and information on both the good and the "not-so-good" in the industry
- help you to decide if invoice finance is right for your business
- and how to make sure you get right product and the best deal for your needs

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UNDERSTANDING INVOICE FINANCE CONTINUED

Background

Why do so many organisations choose invoice finance?

If the saying "working capital is the lifeblood of all businesses" is true, and in my experience it is, invoice finance is always going to be near the top of the list of funding products. And it is not just the availability of working capital that makes it attractive; the flexibility of the product appeals to businesses of all sizes, across a wide range of sectors, as funding via invoice finance follows the natural pattern of your business cycle.

If some of these benefits are leading you to consider invoice finance, we thought it might be useful to have a feel of the numbers of invoice finance clients, their size and how much they are borrowing.

These statistics are from the Asset Based Finance Association (ABFA) website and are taken as at the end of June 2013:

There are more than 40 different providers of invoice finance in the UK lending in excess of £15 billion to some 43,000 clients. These providers range from all the high street banks with many thousands of clients, to the smallest factoring companies with less than 100 clients.

It is worth noting that the industry grew from just 26,000 clients as at December 1999, to 46,000 clients by December 2007. There were some decreases in numbers following the global financial crisis although client numbers have been on the increase again over the past two years.

So with this context in mind, let us investigate what invoice finance is in essence, and what you should consider before you start.

Analysis of advances and client numbers by size of client turnover

CLIENT ANNUAL TURNOVER BANDS £m	NUMBER OF CLIENTS AT THE QUARTER END	ADVANCED (QUARTER END BALANCE £m)
0.0 – 0.5	14,936	646
0.5 – 1.0	6,720	591
1.0 – 5.0	14,140	2,950
5.0 – 10.0	3,644	1,965
10.0 – 50.0	3,161	4,745
50.0 – 100.0	356	1,800
Over 100.0	291	4,753
Total	43,248	17,450

[1] Source: Asset Based Finance Association, Quarterly Statistics to June 2013

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CHAPTER 1

INVOICE FINANCE

MASTERING THE FIRST STEPS

Let's get right back to basics then, and answer some of the initial questions you might have on invoice finance. In this chapter, we give you a comprehensive explanation of invoice finance and provide you with important information you need before you get started. This includes, what it is, how much it costs, and even some helpful "insider tips" on how to make sure you don't choose the wrong provider.

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BACK TO BASICS

1. What is invoice finance?

In essence, the term **invoice finance** means an advance of funds from a bank, or specialist provider, secured against invoices raised for products or services supplied.

2. How does it work?

This is probably best explained by way of an example:

ABC Limited has an **invoice finance** agreement with XYZ Finance. ABC ltd raises an invoice to a trade client for £1,000 and sends this invoice to XYZ. Upon receipt of the invoice, XYZ will immediately release an agreed amount of the invoice to ABC. This amount is typically in the region of 80% (note: the percentage released will depend upon the financial strength and type of your business). So, in this case, the release of immediate funds from XYZ to ABC would be £800. The customer pays the full amount of the invoice to XYZ in 45 days. XYZ then pay the balance (20% in this example) to ABC less their fees. There is more on fees under point 5.

3. What invoice finance products are available?

Factoring: Factoring is a full service form of invoice finance where the factor provides finance against the whole sales ledger, and manages the credit control function. The facility will in most cases be disclosed and your clients will therefore be aware that you are using factoring.

Invoice discounting: Invoice discounting releases cash against a company's outstanding invoices in the same way as factoring but the company using the facility retains control of their sales ledger, and the collection of their debts. Agreements are usually provided on a confidential basis such that clients are not aware their supplier is using this type of funding.

Other invoice finance products include:

Non-recourse invoice finance:
Where the debt is insured

Selective invoice finance:
Where you only fund a section of the sales ledger

Export invoice finance:
Where your customers are based overseas

Single invoice finance:
Where you fund an individual invoice

Reverse factoring:
Where your debtor instigates and then plays a role in the facility

Supply chain finance:
Where the invoice finance facility is often linked to a trade finance facility

4. The providers

As we commented earlier, in the UK there are over 40 different invoice finance providers, lending in excess of £15 billion to some 43,000 clients. Providers are wide-ranging, from the largest banks with a global reach, to small independent factors with less than 100 clients. All have their own strengths and weaknesses in terms of products, service, geographic coverage, pricing and their own availability of funding.

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BACK TO BASICS CONTINUED

5. The costs

There are two basic costs of an invoice finance facility:

Firstly, there is a service charge, which is the fee paid by the client for the provision of the service. This is obviously higher for factoring facilities, where the provider is in effect running the whole of your sales ledger including collections, and lower for invoice discounting where the workload is lower. Typical fees in the market at this time are in the region of 0.8% to 2.00% for factoring, and 0.3% to 0.75% for invoice discounting.

The second charge is the discount fee and this is the cost of the money that is being advanced by the provider for the time it is outstanding. Typical fees in the market at this time are in the region of 3.00% to 5.00% over base rate or LIBOR for factoring, and 2.25% to 3.00% over base rate or LIBOR for invoice discounting. (Note: The banks tend to use base rate and the independents LIBOR.)

In addition there are disbursements charged for additional services used.

6. How do you choose the right company?

Research the market. We would always advise you speak to an expert who has intimate knowledge of all the providers in the market place and their capabilities, and can do this research for you in a fraction of the time. Whether you use an advisor or not, always aim to see at least two potential providers. Be aware that when you are meeting the provider at your office, this will be one of the Business Development team and NOT the person you will be working with on an on-going basis.

"Insider tips" on picking the right provider

1. Make sure you have the right provider for your needs
2. Don't commit to a long contract if you don't have to
3. Check out which services are included and which aren't - remember you will be charged a disbursement fee for everything that is not standard
4. Get everything confirmed in writing or in an email
5. MOST IMPORTANT – go to the office of the proposed provider and meet the person who will be running your account after you have signed on the dotted line. If you don't feel comfortable with this person or the set up – don't sign the agreement.

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INVOICE FINANCE

CONSIDERING THE STRENGTHS AND WEAKNESSES

Now that you have an understanding of the basics of invoice finance, let's start to look more at whether it is right for your business.

Whenever I'm looking at buying a new product or service I find thinking through the relative strengths and weaknesses very useful. It lets me see all of my thoughts on one piece of paper, and helps me make a more measured decision.

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CONSIDERING THE STRENGTHS AND WEAKNESSES

STRENGTHS OF INVOICE FINANCING

Improves cash flow

The main benefit of invoice finance is that it improves your working capital by giving you instant cash when you raise an invoice. This will be at an agreed rate (IP or initial payment), typically 75 to 80% of the invoice value, with the balance paid less fees when the invoice is paid by your customer.

Flexibility – moves with your business

Invoice finance is incredibly flexible, in that it grows and shrinks with your business. The more invoices you have, the more funding you will receive (up to an agreed limit), and when you have a quieter time with less invoices, the funding is reduced. Costs are adjusted accordingly. It is worth noting that this will be subject to a minimum monthly charge.

Takes over the running of your sales ledger – (Factoring only)

With a factoring facility there should be both time and cost savings, with the running of your sales ledger (including collections) being taken over by the factoring company. You may be able to redeploy or reduce headcount accordingly. N.B. this is not the case with invoice discounting as the client retains the running of the ledger with these facilities. See the previous chapter for further definitions of these products.

WEAKNESSES OF INVOICE FINANCING

Costs - can be expensive

Invoice finance can be expensive if you have the wrong agreement. As previously mentioned, standard costs are a service charge for the running of the facility, and a discount charge (interest) for the money borrowed. This latter charge needs to be negotiated when agreeing the contract and, in most cases, is value for money. However, where things can become very expensive is when you need additional services, such as quicker payments or additional advances, when your business comes under cash pressure. These additional fees are known as disbursements.

Length of contract

Some providers will ask you to sign up to an agreement for as much as two years. We would recommend that you don't commit to this length of time, and that you try to ensure there is a clause in the agreement allowing you to move, cost free, if you are not happy with the service.

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CONSIDERING THE STRENGTHS AND WEAKNESSES CONTINUED

Variable service

Service does naturally vary from provider to provider. Size is not important here as some of the smallest companies provide the best service. Rather, the biggest variable is the person or people that are running your account on a daily basis. As for many services, if you don't have a good relationship with these people it will make things very difficult. In addition, it is worth noting that this person can be changed at any time and you can go from good to bad service in a matter of days.

Transparency

In most cases, you are asked to sign a long term multi-page agreement without having the opportunity to sample the product and service you are committing to. We would recommend meeting the people at your prospective provider, and making sure you fully understand the agreement with all the charges that you are likely to incur fully explained, before committing.

Takes over the running of your sales ledger – (Factoring only)

Whilst there can be both time and cost savings here, as described above, many clients have found that outsourcing this critical business function to the wrong people can prove to be very costly. For example, the subtle way in which you may have been encouraging key customers to pay on time may become worthless if this is suddenly handled by someone lacking this sensitivity. The result could be, at best, slower payment and, at worst, the loss of customers.

"Insider tips" on selecting the right product

1. Make sure you know all of the cost implications
2. Meet the people who will be running your account
3. Give yourself a "get out" clause if you are not happy

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GRASPING INVOICE FINANCE JARGON

Like so many industries, the invoice finance industry is full of jargon which can make it difficult to understand if it's not something you are used to.

This has a dual effect; firstly, it means the customer often doesn't have sufficient knowledge to choose the right product or negotiate the right price, and secondly, the providers of these products are - in some cases - able to sell in more costly services than are needed.

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GRASPING INVOICE FINANCE JARGON

Essentially, this is all about knowledge-sharing or knowing what you are talking about and, of course, isn't peculiar to the invoice finance industry - it's the same in every industry I have ever known.

To help you negotiate your way through the language of invoice finance then, we offer below some key information on each of the main invoice finance products out there. In addition, there are explanations of much of the jargon used in the industry, to assist you in both your choice of service and also, any subsequent negotiations with potential providers.

Factoring or Invoice Discounting?

The two principal products we will discuss here are invoice factoring and invoice discounting - let's start with the basic difference:

- **Factoring facilities** are a complete outsourcing of the sales ledger, with invoices being collected by the factoring company in their name. The factor will buy the invoice from you and this will be disclosed to your customer by a notice on the invoice.
- **Invoice discounting facilities** are in most cases confidential, in that your customer is not aware that you are receiving a funding line secured against your invoice to them. You retain control of the credit control function.

Both products will provide an advance against your invoice value at an agreed percentage rate (typically 75 to 85%) at the time you pass the invoice to the invoice finance provider. The balance will be paid at the time of payment by your customer. To reiterate, providers will charge two basic fees: A service charge for providing the service, and a discount fee, which is the interest on the money you are borrowing. The discount fee can be over bank rate or LIBOR. These fees are taken on an on-going basis from your account.

Invoice finance jargon – a glossary of terms

Let's move on now to a more detailed explanation of the products, and the jargon, and explore which could be right for your business:

Factoring - this type of product is predominantly used by smaller businesses, that don't necessarily have a long trading history or sturdy balance sheet, and possibly don't have their own credit control function.

Invoice discounting - this product is often referred to by the acronyms ID or CID, or often just as Discounting. Because of the confidentiality, and the fact that the credit control remains with you, this product is the preserve of the larger (£500k plus) business, although there are always exceptions. Payments by your customers are made into a trust account that is in your name, but under the control of the provider

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GRASPING INVOICE FINANCE JARGON CONTINUED

Minimum fee - the monthly fee you will be charged however much invoicing is raised. This should normally be at a level lower than your forecast turnover.

Retrospective fee, also known as the Retro fee - is the fee charged for taking on your existing ledger and is normally the same as the service charge percentage.

Arrangement fee - the cost of setting up the facility.

Initial payment or prepayment percentage, often referred to by the acronym IP - is the percentage advance you receive at the time of raising the invoice.

Funding limit - the total funding line you can receive however high your turnover goes.

Approval period - the number of days that the provider will fund your invoices for. After this period, say 90 days, invoices still outstanding will become unapproved, and the amount will be deducted from your overall availability.

Recourse - the term used to confirm that in the event of non-payment of an invoice the liability remains with you at all times.

Non-recourse - where credit insurance has been secured and your risk is reduced.

Refactoring fees - these are applied where an invoice has been outstanding for longer than the approval period.

High involvement - a term used for individual customers who account for a large percentage of your sales ledger. The provider of the facility may restrict the percentage of any one customer to a specified amount. If you have a large customer the provider will often make an exception and increase the percentage for this specific account.

Dilution - the level of credit notes that you would raise in a period. If this is too high it will concern the provider, as it could potentially have an adverse effect on their security.

Disbursements - the term used to cover all other additional charges, such as faster payments or temporary increases in the facility amount.

Insider Tips on invoice finance fees

1. Minimum monthly fee. Try to negotiate this as low as possible, as it can be a cost you could do without if your business drops. Don't over-estimate your turnover because this is what the fee will be based on.

2. Disbursements. Make sure you have a full understanding of any additional charges over and above those that are included in your agreement.

3. Minimum base rate. There may be a minimum base rate or LIBOR rate that applies to your proposed agreement. Try to avoid this.

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SEEKING THE RIGHT SOLUTION:

SELECTIVE AND SINGLE INVOICE FINANCE

In the first few chapters of this eBook, we hope to have provided you with the early information you need to decide whether an invoice finance solution is right for your business. If so, you may find it useful to deepen your understanding of some of the specific products available, for instance, single invoice or selective invoice finance.

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SELECTIVE AND SINGLE INVOICE FINANCE

If you are familiar with this area of business funding, you will know that invoice finance providers have traditionally sought to provide funding across the whole of a client's sales ledger. This is beneficial to them in two ways: not only does it provide additional security, with a 'spread' of debtors minimising the risk of non-payment by an individual debtor, but also, it gives them additional income with charges levied across the whole of the sales ledger.

Of course, these 'whole ledger' facilities work well for many clients seeking the maximum finance possible from their invoice finance facility. But, with a growing number of invoice finance clients becoming less interested in full ledger facilities, what other funding options are there for those wanting to be more selective in their approach?

There are a large number of both existing and potential users of invoice finance that don't want, or need, the traditional type of all-encompassing facility and would prefer to pick and choose what they finance, and when they do it. In response to these market needs, I am very pleased to say, there are a growing number of providers that are bucking historic trends and providing both selective facilities, where not all of the ledger is covered, and indeed, single invoice products, where the client can fund one invoice at a time.

Let's explore these types of product in more detail.

Single Invoice Finance

With single invoice facilities there are two main types of provider:

1. This is a 'traditional' type of facility, where the provider will provide funding of up to 90% against an individual invoice. They will look closely at the debtor whose invoice is to be financed and, of course, the company looking to raise the funding.

Advantages

- The advantage is that this will be a one-off charge with no on-going commitment to fund further invoices. This can prove to be very cost effective if you only need funding for certain invoices throughout the year.
- Certainty of finance availability once the contract is signed.

Disadvantages

- Cost – the funding will be expensive on a per invoice basis when compared to whole ledger invoice finance rates. The charges will either be a daily or monthly rate. This is typically 5% per month.
- The provider will seek to take security over more of the ledger than just this single debt to provide the spread of cover as described above.

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SELECTIVE AND SINGLE INVOICE FINANCE CONTINUED

2. The second type of provider of these facilities are known as Invoice Traders. These are online platforms that will offer the funding of your single invoice to a group of approved 'buyers' - these buyers are a mix of High Net Worth individuals, family offices, private equity houses, banks and even traditional invoice finance providers.

   The seller will need to go through an approval process; once this is completed they will be able to upload individual invoices onto the platform, highlighting the maximum amount of interest they are prepared to pay, the amount of the invoice they are seeking funding for (e.g. 80%) and the amount of time for which funding is being sought. The buyers will then bid against each other to fund the invoice over, say, a 2-3 day period, with the lowest offer winning the right to finance the deal.

Advantages:

- Cost – These facilities can be very cost effective with some trading taking place for interest costs of 0.75% per month. There is an administration fee to be paid to the platform provider of circa 0.5%.
- Flexibility – You are not committed to any form of contract that says you have to fund more invoices through the platform and there are no other fees or charges.

Disadvantages:

- Certainty of finance? – There is no absolute guarantee that the invoice will be funded as it may not receive any bids. However, our research has shown that this is very unlikely and we are told by one of the providers of these services, that they have never had an auction not be fully funded.

Selective Invoice Finance

One of the benefits of the advent of single invoice finance providers is that it has forced the traditional invoice finance companies to review their offering. As a result, a number of providers will offer a selective product – known as selective invoice finance that excludes certain parts of a client's sales ledger. These products are not widely advertised, so it would be sensible to approach someone with a good understanding of the current market, to learn about what options might be available to you.

In addition, of course, it's entirely feasible to use the single invoice finance providers - as described above - to fund multiple debtors. This could work if you were raising up to, say, 20 invoices a month. Anything over this would become uneconomical in terms of the administration required. Our advice here would be to use an invoice trading platform to keep costs down.

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IS SUPPLY CHAIN FINANCE THE RIGHT OPTION FOR YOU?

Another product for you to consider, but what exactly does Supply Chain Finance mean and how might it work for you?

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IS SUPPLY CHAIN FINANCE THE RIGHT OPTION FOR YOU?

Supply chain finance is a term that gets a lot of usage in many different situations, leading to a good deal of confusion as the term covers two distinct methodologies:

- the first provides finance for your purchases or manufacturing costs, and that then flows into the finance of your sales invoices;
- the second provides finance to your suppliers, i.e. your supply chain, made possible as a result of your purchase order and the strength of your business.

Let's explore those two methodologies in more detail to understand their differences and how each might work for a business choosing that route.

Method 1

The first approach to supply chain finance, has traditionally meant a business securing funding for each step of their business process, from order through to sale. This process would start with a trade finance facility, where you would normally be funding an order from a customer that - when delivered - is in a finished state. This can be either domestic or international, and is sometimes called a purchase order facility.

If a company is a manufacturer, it is also possible to finance the construction process for a firm order. This would be in the form of stage payments that would be made available at specific stages, and would likely be measured by some form of professional valuer before the finance is released.

Once the goods have been delivered to your warehouse, or you have finished the manufacturing process, delivery can be made to your customer. At this time, you will be able to raise the invoice which can then be financed from an invoice finance facility, and the trade finance or stage payments repaid.

The invoice finance facility will advance anywhere between 70 and 90% of the total value, with the balance being paid to you when the invoice is settled by your customer.

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IS SUPPLY CHAIN FINANCE THE RIGHT OPTION FOR YOU? CONTINUED

Method 2

The second supply chain finance approach, where the buyer's suppliers receive the finance, has historically also been known as reverse factoring.

The supply chain in this instance is the input suppliers to your business, and the instigator of the services is usually the buyer. The buyer will identify parts (or all) of their suppliers who would benefit from quicker payment terms than their contractual agreement.

They will then find a provider of this type of supply chain finance, or reverse factoring, and request that they fund their suppliers by providing finance against the invoices the supplier raises to the buyer. These transactions will be based on the balance sheet of the buyer, and not that of the supplier.

The finance provider will fund the individual invoices the supplier has raised to the buyer on normal invoice discounting terms.

Could either of these methodologies work for your business?

There is no reason at all that any business buying in goods to satisfy orders shouldn't use traditional supply chain finance. If you are then selling the products on a credit basis, this finance can be extended into an invoice finance facility. It is worth noting that the ideal situation is for the transaction to be based on the purchase of finished goods for confirmed orders. It is much more difficult to fund stock purchases bought to fulfil orders that have not yet materialised.

With regard to the second type of supply chain finance, this can be an exceptionally good tool to ensure the sustainability of the businesses that make up your supply chain, by helping them have a healthy cash flow.

Indeed, from another perspective, if you are a supplier to a large company and you would like to be able to receive payment quicker than the agreed payment terms, you could suggest to your customer that they investigate supply chain finance or reverse factoring, as they may know it. The advantage to them would be a happier and more financially robust group of suppliers who were receiving cash on delivery for a small cost.

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INVOICE FINANCE:
WHO CAN IT WORK BEST FOR?

Let's examine now, what type of business might be best suited to invoice finance, considering in turn the industry type, the typical margins being operated, and the life-cycle phase of the business.

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INVOICE FINANCE – WHO CAN IT WORK BEST FOR?

Business sectors

We would suggest largely, but not exclusively, it is businesses in the following fields that are best suited to invoice finance:

- Manufacturing
- Business services
- Wholesale
- Recruitment
- Distribution
- Printing services
- Transport

You will note that all of the above have relatively straightforward business models, with finished goods or services being provided, approved and then invoiced for. This type of model gives the invoice finance provider a great deal of comfort should the worst happen and they have to collect in the debt themselves.

However, it is worth mentioning that as the invoice finance industry has developed over the past decade, new products have been created to fund other, more contractual types of debt, such as in construction, IT, and even football transfers!

Margins

The business considering invoice finance should ideally have a gross margin in excess of 20%. Operations with very thin margins can see their profitability significantly eroded by invoice finance charges.

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INVOICE FINANCE – WHO CAN IT WORK BEST FOR? CONTINUED

Business phase

As for industry sectors, above, invoice finance is arguably better suited to businesses at particular stages in their growth cycle:

- Established businesses - Invoice finance is ideally suited to well-structured growth orientated businesses, with the inbuilt flexibility providing for increased working capital as sales increase.
- Start-ups - It is now possible to fund working capital for a start-up business with invoice finance. The seed capital required to set up the new business up will still need to be found from other sources.
- Stressed businesses - Businesses that may be experiencing operational and/or cash flow problems, often following an event beyond their control - such as a bad debt from a major customer, or a sudden change in their market resulting in a loss of business - are, in many cases, still able to find an invoice finance provider who will work with them to get the business back on an even keel.
- Distressed businesses - Businesses that are under severe pressure, perhaps as a result of HMRC arrears, or banks reducing their facilities, are still able to obtain invoice finance in the right circumstances. There are a number of providers who will support a well-planned turnaround strategy.
- Business reconstructions - If the turnaround strategy includes some form of insolvency mechanism, there are again a number of providers that will support the overall plan, and potentially fund both "oldco" and the "newco".

In summary

Invoice finance can prove to be an excellent business finance solution in a wide range of business sectors, and can provide much needed cash flow in situations from start-ups through to growth, and even on to those firms in a turnaround or recovery phase. I would stress, however, it is vitally important that you get the right type of facility and that you choose the right provider.

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HOW TO ESTABLISH IF INVOICE FINANCE COULD BE RIGHT FOR YOUR BUSINESS

Let's recap then what we have explored in this eGuide:

- we've given you a background to invoice finance, and an overview of how it works;
- we've considered the various invoice finance products available and how they differ;
- we've translated a good deal of the jargon you might come across in the field;
- we've looked specifically at single and selective invoice finance, and the flexibility they offer;
- we've described the two options available with regard to supply chain finance;
- and lastly, we've looked at what businesses might be best suited to invoice finance.

Final decision

So if, armed with all this information, it is decision time for you, we suggest you ask yourselves the following two questions:

1. Does your business supply goods or services on credit terms to other businesses?
2. Do you need additional working capital?

If the answer to these questions is "yes", it is very likely that there will be an invoice finance product that would work for you.

Remember, the benefit of these types of facilities is that the funding is linked directly to your sales ledger and therefore grows and shrinks with you as your business experiences peaks and troughs through seasonality or market changes.

But, bear in mind also, these two important issues:

A. If you are using factoring, the facility will be disclosed to your customer. You may not want this to be the case.

B. The other reason that some businesses don't want to use factoring is that collections are handled by the 'factor'. Hence, it's very important to know exactly who will be handling your credit control before signing up to these facilities.

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HOW TO ESTABLISH IF INVOICE FINANCE COULD BE RIGHT FOR YOUR BUSINESS CONTINUED

In conclusion then, seeing the invoice finance business evolve over the past few years has been good news, with providers seeking to develop products that genuinely assist and support their business clients during a time when the global economy is still fragile. We hope this eGuide has proved useful in describing how and why this new suite of invoice finance solutions might be right for you, as a viable alternative to bank funding - it's now up to you!

"Insider tips" – a final reminder

1. Do your research – consult someone who understands the market
2. Consider all the options – for example, you may not want to finance all your invoices
3. Make sure you consider all the cost implications
4. Don't overestimate your turnover – your charges will be linked to this
5. Give yourself a "get out" clause, if you're not happy
6. Meet the people – introduce yourself to the people who will be running your account
7. Don't be afraid to ask for help and advice...

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ABOUT US

John Thompson, author of this eGuide, has been in business for over 30 years. During has career he has been an invoice finance client, the Managing Director of the largest invoice finance broker in the UK and a Director of the largest independent Invoice Finance provider in the UK.

John is the founder and Managing Director of Trans Capital Associates, a financial and strategic consultancy aimed at providing solutions for SME owner/managers in growth potential, underperforming or stressed businesses.

With experience of owning, operating and advising businesses through economic and strategic difficulties, Trans Capital prides itself on being an independent and impartial advisor for business owners who need assistance in identifying the best ways to preserve and create value, while staying in control of their business.

We can help you find and secure working capital, thanks to our direct links with senior decision makers in the asset-based lending community, and close network of specialist equity providers, as well as access to a wide range of high net worth individuals seeking strategic investments. We can then examine any root issues encumbering your business, and help you resolve those to ensure that you are on a strong foundation for future growth.

If you're looking to find working capital in challenging circumstances then we can help.

Call us on 0845 689 8750, email us at info@transcapital.co.uk, or fill out the enquiry form on our website – we'd be happy to discuss your options.

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